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# Securities Lending Meltdown

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**Your mutual funds and pension plan likely settled for crumbs when Wall Street was minting money lending out their securities. Now that the business has blown up, Wall Street wants to stick you with the bill.**

Joseph Diebold, 70, of Prairieville, La., spent three decades toiling in an Exxon chemical plant. He socked away savings in a 401(k), much of it going into index funds. Last fall his nest egg got crushed, like everyone else's. Even so, it struck Diebold as odd that many funds seemed to do a bit worse than the indexes they supposedly tracked. His S&P 500 fund, for example, lagged its benchmark by 11 basis points (0.11%), even before fees. A mortgage-backed securities fund lagged by 53 basis points.

The cause of the lag: sizable losses in securities-lending programs that, at best, provided funds with incremental revenues in good times in exchange for what many managers say was sold to them as minimal risk. In contrast, the middlemen who managed the lending programs, and who walked away with fat slices of the profits in the salad days, are now sticking small investors like Diebold with the losses.

No question the red ink pales in comparison to the wealth

vaporized by the financial crisis. But with securities lending losses conservatively estimated in the billions of dollars, they have incited legal battles between big Wall Street clients, including the pension plans of FedEx Corp. , bp and Imperial County, Calif., and middlemen like JPMorgan Chase, Bank of New York, State Street and Wells Fargo .

Diebold filed a complaint in U.S. District Court for the Northern District of Illinois on Apr. 1. It accuses Northern Trust , his funds' securities lending manager, of prohibited transactions and failing to prudently and loyally manage plan assets. His attorneys are seeking class status, without which designation the case is probably not worth their time. The Chicago bank denies wrongdoing.

Stocks are borrowed so that they can be sold short. The short-seller borrows the shares, replaces them with cash collateral and promises to both return the shares on demand and cover dividends paid out in the meantime. If the shares are liquid and easy to borrow, the lender gets a modest fee for its cooperation. It keeps an agreed-upon percentage of the interest earned on the collateral. There's not a lot of loot to fight over.

Things get interesting when supplies of lendable shares are scarce, or the collateral is put into sketchy investments. Then there's money to fight over.

Citigroup , which is in high demand among shorts, currently costs the equivalent of 60% per year to borrow. Lenders of Citi shares are in the catbird seat. They could wind up with the same capital gain or loss they would have without a stock loan, plus an extra 60% return. Why are lendable shares sometimes scarce? One reason is that some institutions (pension funds, endowments) can't or won't lend shares; another is that retail

brokers are permitted to lend only shares from their customers' margin accounts, not cash accounts; and the third is that some investors on the long side of the stock withdraw their securities from the lending pool precisely to make life miserable for their enemies, the short-sellers.

Securities lending peaked in 2007, with transactions totaling \$5 trillion, according to the consulting firm Finadium. That gave rise to a \$17 billion pot of money, consisting of interest on collateral plus surcharges for scarce shares.

Where did the money go? In some deals, short-sellers themselves laid claim to about half the revenue. Their brokers pocketed another 30% or so. The custodial banks that managed the lending programs, and the mutual funds and other institutions that owned the securities, split the rest of the booty. That's calculated using estimates by David Downey, chief executive of OneChicago, a futures exchange. Northern Trust made \$221 million from securities lending last year. In deals involving hard-to-borrow stocks, prime brokers appear to have gotten the bulk of the profits, leaving banks and investors with 1% or less.

Securities lending is sufficiently profitable that it has spawned its own underworld of unsavory activity. In the past two years 28 people, including traders at Morgan Stanley , A.G. Edwards and JPMorgan Chase, have pleaded guilty to crimes involving the business. Darin Demizio, former head of Morgan Stanley's domestic securities lending desk, was convicted of securities fraud for funneling business to firms that paid \$1.6 million in kickbacks to his father and brother, who were purportedly acting as "finders" in the securities lending trade.

The recent dustup centers around the fact that, in a bid to

squeeze out a bit more profit, securities lending managers got exotic in how they invested the short-sellers' collateral. Instead of tucking it safely into T-bills and T-bill repos, they bought higher-yielding but highly rated commercial paper and other corporate debt.

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When Lehman Brothers collapsed last fall, it caused sufficient losses in the \$22 billion (assets) Institutional Cash Reserve that sponsor Bank of New York had to step in to prevent it from breaking the buck. The ensuing panic from such losses prompted investors to yank \$1.4 trillion out of short-term instruments, including commercial paper, where some short-selling collateral was unwisely invested. Some of that collateral, now mostly asset-backed securities, is so illiquid that it has yet to be unwound. Government bailout programs have been primarily available to financial institutions and issuers, not to securities lending pools.

The question now is who's going to eat the losses. In Diebold's case, like many others, his 401(k) plan appears to be contractually on the hook for any decline in the value of collateral received in exchange for the securities it lent out. If Northern Trust prevails it will have been a great deal for the bank: When things were good, it scooped up a fat share of the profits, but after they turned bad, it would be the pensioners picking up the tab. Northern Trust would seem to have had ample motives to invest in riskier assets. The bank says losses "were due to unprecedented global market conditions--not risky investments" and that investors don't have to participate in securities lending.

If there's any good news here it's that small investors need not

worry about getting stuck with losses when brokerages lend out securities they purchased on margin. The retail brokers we talked to assure us they will bear any losses on securities lending collateral. (Only fair; they hand over none of the revenue from the lending operation.)

Even so, the red ink could trickle down to investors and taxpayers. The \$3 billion (assets) Policeman's Annuity & Benefit Fund of Chicago earned \$3 million lending out securities in 2007. It's now sitting on a \$5 million loss from illiquid collateral it can't unwind. That's on top of a \$700,000 loss realized from Lehman Brothers paper. The fund is working with custodian Northern Trust to maximize its returns, according to chief investment officer Samuel Kunz. Many other plans seem to have thought twice about the entire securities lending process. Seven of 34 plans contacted in January by Finadium said they had given up on lending out securities.

Vanguard, the penny-pinching index fund giant, has handled its own lending for years, cutting out middlemen and shunning doggy collateral. It says it returns all profits to its funds' investors. They were equal to ten basis points last year in its Mid Cap index fund, or a total of \$17 million--better than a stick in the eye.

Instead of lending stocks to earn extra cash, consider owning futures trading at discounts, with sufficient liquidity.

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Prices as of June 1. \*Low liquidity may require buying contract with more days to expiration. *Sources: OneChicago; FT Interactive Data via FactSet Research Systems.*

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